

Systematic Investment Plan (SIP) Policy

1. Definition and Mechanism of SIPs

A Systematic Investment Plan (SIP) is a financial tool that allows an investor to invest a fixed sum of money at regular intervals (daily, weekly, monthly, or quarterly) into a selected Mutual Fund scheme.

1.1 How SIPs Work

SIPs operate on the principle of **Rupee Cost Averaging**. Instead of attempting to "time the market," the investor purchases units at various Net Asset Value (NAV) points.

- When the NAV is high, fewer units are purchased.
- When the NAV is low, more units are purchased.
- Over the long term, this typically results in a lower average cost per unit compared to a lump-sum investment.

2. Investment Thresholds and Frequency

2.1 Minimum SIP Amounts

To ensure financial inclusivity, the Bank adheres to the following minimums (subject to the specific Scheme Information Document):

- **Monthly/Quarterly:** Minimum ₹500 per installment.
- **Weekly/Daily:** Minimum ₹100 per installment (where permitted by the AMC).

2.2 Maximum Investment and Income Alignment

While SEBI does not impose a legal maximum on SIP amounts, the Bank enforces the following **Prudential Limits**:

- **Debt-to-Income Ratio:** A client's total monthly SIP commitments should ideally not exceed **40% of their documented monthly net income**.
- **High-Value SIPs:** Any SIP mandate exceeding **₹2,00,000 per month** requires a "Source of Wealth" declaration and an updated Risk Profile Questionnaire (RPQ).

3. Eligibility and Mandate Registration

3.1 Eligibility

- **Age:** Individuals (18+), Minors (through Guardians), and Senior Citizens.
- **KYC:** A status of "KYC Registered" or "KYC Validated" is mandatory before a mandate can be registered.
- **In-Person Verification (IPV):** Must be completed for all new-to-bank investors.

3.2 NACH/e-Mandate Registration

SIPs require a **National Automated Clearing House (NACH)** or **e-Mandate** to automate the debit process.

- **Policy:** Mandates must be registered with a "Maximum Limit" to allow for future SIP "Top-ups" without requiring new paperwork.
- **Processing Time:** Mandates typically take 10–15 days to activate. RMs must inform clients that the first SIP installment may be debited on a different date if the mandate is not approved by the next cycle.

4. Suitability and Risk Profiling

4.1 Income Stability vs. SIP Commitment

SIPs are long-term commitments. The Bank's advisory system must evaluate:

- **Income Stability:** Clients with erratic income (e.g., commission-based) should be advised to choose lower SIP amounts or quarterly frequencies.

- **Emergency Buffer:** SIPs should only be initiated if the client has maintained an emergency liquid buffer of 3–6 months of expenses.

4.2 Risk Category Alignment

The SIP recommendation must align with the **SEBI Risk-o-meter**:

- **Aggressive Investors:** SIPs in Mid-Cap, Small-Cap, and Thematic Funds.
- **Moderate Investors:** SIPs in Balanced Advantage or Large-Cap Funds.
- **Conservative Investors:** SIPs in Liquid or Short-Duration Debt Funds.

5. Modifying, Pausing, and Stopping SIPs

5.1 SIP Pause Facility

Clients may pause their SIP for a period of 1 to 3 months without canceling the mandate. This is suitable for temporary liquidity crunches.

- **Condition:** The request must be submitted at least 15 days before the next debit date.

5.2 SIP Modification

Investors can modify the amount or frequency of an existing SIP. This requires a 21-day notice to the AMC and the Bank's clearing cell.

5.3 Cancellation (Stop SIP)

Clients have the right to stop an SIP at any time. There are no penalties for stopping an SIP; however, exit loads may apply if the units already accumulated are redeemed before the specified period.

6. Advisory Guidelines for Relationship Managers (RMs)

RMs are prohibited from using promotional or high-pressure tactics.

- **The "Back-testing" Rule:** When showing past SIP performance, RMs must use a minimum of 3-year and 5-year data sets. Point-to-point returns (showing only the best year) are strictly prohibited.
- **Diversification:** RMs must ensure a client's SIPs are spread across at least 2–3 different AMCs to mitigate fund house risk.
- **No Guaranteed Projections:** RMs shall not use phrases like "This SIP will double your money in 5 years" or "Expected returns of 18%."

7. Documentation and Customer Consent

For every new SIP, the following "Digital or Physical Trail" must be maintained:

1. **Signed SIP Instruction Form:** Containing the scheme name, amount, date, and tenure.
2. **Suitability Report:** Stating why the SIP is appropriate for the client's goal (e.g., Retirement, Education).
3. **Explicit Consent:** For digital transactions, an OTP-based verification or biometric authentication is required.
4. **Commission Disclosure:** The RM must provide the client with a schedule of the commissions the Bank will earn over the tenure of the SIP.

8. Monitoring and Review of SIP Performance

The Bank shall perform an **Annual SIP Performance Audit**:

- **Underperformance Flag:** If an SIP-linked scheme underperforms its benchmark for more than 12 months, the Bank's system will generate a "Review Required" alert for the RM.
- **XIRR Reporting:** Clients must be provided with the **Extended Internal Rate of Return (XIRR)** in their quarterly statements, as this is the most accurate measure of SIP performance.

9. Compliance and Prohibited Practices

1. **Guaranteed Returns:** No staff member or digital prompt shall guarantee SIP returns.
2. **No Churning:** RMs are prohibited from advising clients to stop an existing SIP in one fund to start another SIP in a similar fund simply to meet sales targets.
3. **Third-Party Payments:** SIP debits must originate from the bank account of the first-named unit holder only.

10. SEBI-Mandated Disclosures and Disclaimers

10.1 Standard Risk Disclosure

"Mutual Fund investments are subject to market risks, read all scheme related documents carefully."

10.2 Systematic Investment Disclaimer

An SIP does not assure a profit or protect against a loss in declining markets. Since SIP involves continuous investment regardless of fluctuating price levels, the investor should consider their financial ability to continue purchases through periods of low price levels.

10.3 Compliance Audit Rule

All SIP records, including mandate registrations and suitability assessments, shall be preserved for a period of **8 years** to comply with SEBI and PMLA record-keeping requirements.